

Roof Lifecycle Cost Analysis

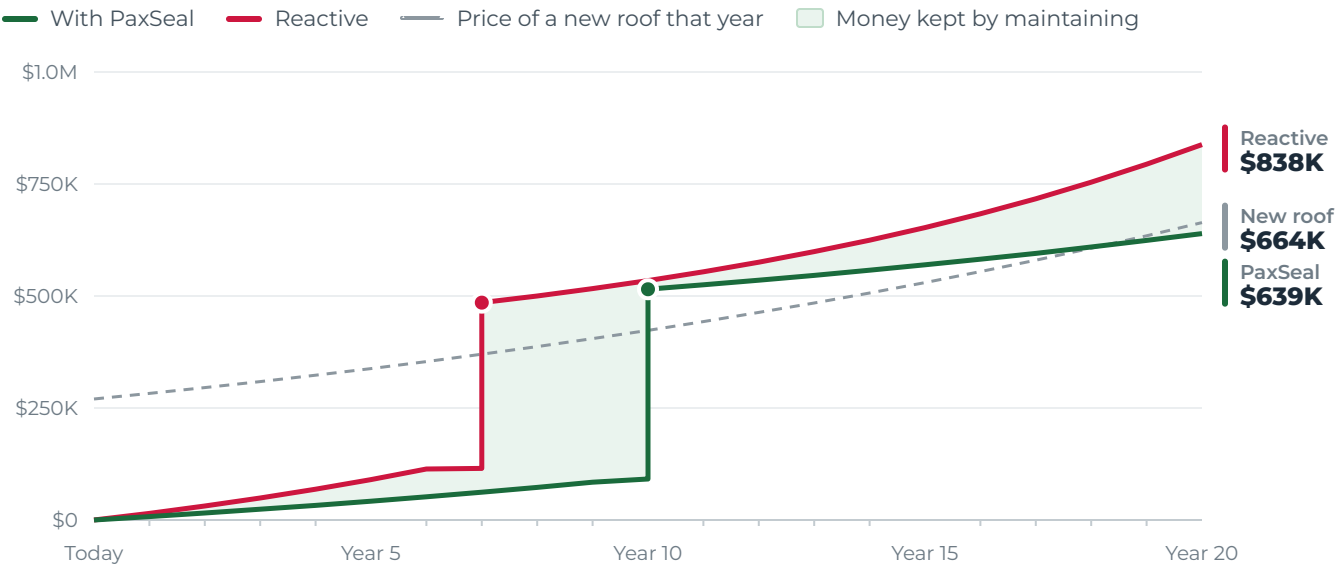
Planned maintenance is projected to save the owner of a typical Austin retail center **\$453K** over the next 20 years.

That is 57.1% less than the reactive cost, or \$194K in today's dollars. It compares PaxSeal planned maintenance with fixing problems only after they leak, using Austin costs and storm history.

MARKET	PROPERTY	ROOF AREA	SYSTEM	AGE	NEW ROOF TODAY
Austin	Retail	30,000 sq ft	TPO	8 yrs Good	\$270K
PAXSEAL NET COST		REACTIVE NET COST		VALUE PROTECTED	
\$341K \$639K spent, less \$299K roof life left		\$794K \$838K spent, less \$44K roof life left		\$179K \$12K/yr more NOI at a 6.6% cap rate	
				NEW ROOF PRICE	
				2* in 15 yrs \$270K today, \$664K by year 20	

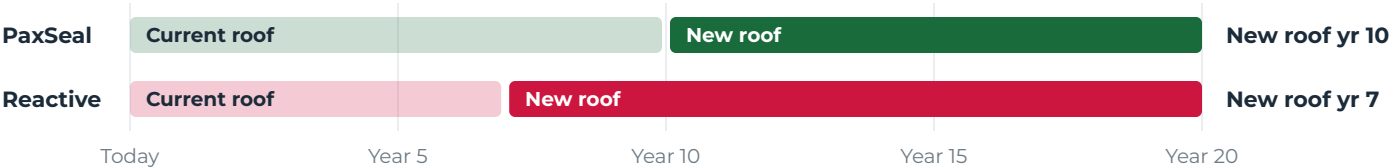
Cumulative roof spending, next 20 years

Nominal dollars. Vertical jumps are full roof replacements.



Roof life

When each scenario needs a new roof.



Where the savings come from

20-year totals

	PAXSEAL	REACTIVE	SAVINGS
PaxSeal program fees	\$126K	—	-\$126K
Repairs paid by owner	\$65K	\$431K	+\$366K
Expected storm damage	\$25K	\$37K	+\$12K
Roof replacements	\$423K	\$370K	-\$53K
Credit for roof life left	-\$299K	-\$44K	+\$254K
Net 20-year cost	\$341K	\$794K	+\$453K

What this means

- 1 **A later replacement.** Maintenance moves the next new roof from year 7 to year 10, so fewer roofs are bought over the period.
- 2 **Smaller repairs.** Problems found on a scheduled visit avoid emergency work, which costs about 3× as much. That saves \$366K in repairs.
- 3 **The program pays for itself.** Each \$1 of PaxSeal fees returns about \$3.59 in avoided cost.

Local risk profile

Travis County, TX (48453)

Hail and tornado

~9 days with 2"+ hail somewhere in Travis County per 20 years (NOAA 1996–2025). Expected storm damage to this roof over 20 years is **\$25K** if maintained and **\$37K** if neglected. A documented maintenance history also helps when an insurer questions a claim.

Hail	Very High	■■■■■
Strong wind	High	■■■■■
Tornado	Very High	■■■■■
Hurricane	Low	■■■■■
Winter weather	Moderate	■■■■■
Ice storm	High	■■■■■

FEMA National Risk Index rating

Key assumptions

Confidence reflects source strength. Values will be refined as research continues.

ASSUMPTION	VALUE	BASIS	CONFIDENCE
Roof life	20 / 15 yrs	Maintained / reactive. Fannie Mae service-life tables; +5 yrs from NRC Canada roof study and manufacturer warranty terms	MEDIUM
Roof cost growth	4.6%/yr	BLS Producer Price Index, nonresidential roofing contractors, 2007–2025	HIGH
Replacement cost	\$9.00/sq ft	Median of other PAX markets until local data is added	LOW
Reactive repair cost	3× planned	Industry estimates; no primary study found	LOW
Storm damage	0.28%/yr	Of roof cost. FEMA NRI expected annual building loss from hail, wind, tornado, hurricane and winter weather	MEDIUM
PaxSeal fee	\$4,700/yr	Estimate from maintenance-program pricing benchmarks	LOW
Leak consequences	1.10× warehouse	Scales reactive repair costs. Order supported by school-closure, hospital infection-control and insurer water-damage evidence; exact values are estimates	LOW
Cap rate	6.6%	Median of other markets until local data is added	LOW

Estimates, not a quote. Projections use Austin market research and industry data, in nominal dollars; actual costs will differ. The PaxSeal fee is an estimate and your proposal will state the actual price. Net cost credits the roof life remaining at year 20. Property value is the yearly gain in net operating income divided by the cap rate, and applies to income-producing property where the owner pays for the roof.